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Answer:

Cash A/c	` 92,000	Dr.	Capital A/c	` 1,00,000	Cr.
Sales A/c	` 10,000	Cr.	Wages A/c	` 6,000	Dr.
Salaries A/c	` 8,000	Dr.	Advertisement A/c	` 4,000	Dr.



Imagine you have been called for an interview with an auditor. The auditor shows you the following ledger account of Mr. Raheem, a dealer in food products.

Dr. **SitaA/c** **Cr.**

Date	Particulars	J.F.	Amount `	Date	Particulars	J.F	Amount `
2017				2017			
April 1	To Balance b/d		7,000	April 12	By Bank A/c		5,000
Sept. 25	To Sales A/c		10,000	May 2	By Cash A/c		2,000
Dec. 29	To Sales A/c		10,000	Oct. 3	By Sales returns A/c		1,000
				Nov. 17	By Cash A/c		3,000
				Dec. 21	By Bank A/c		4,000
				2018			
				Mar. 31	By Balance c/d		**12,000**
			27,000				27,000
2018							
Apr 1	To Balance b/d		12,000				

The auditor wants you to explain each posting in the above account and also to state where will the double entry for each posting be found.

To explore further

'**Accounts of debtors will always have debit balance**'. - *Do you agree*?

Reference

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